UNION PUBLIC SERVICE COMMISSION

Civil Services (Preliminary Exam) - 2020

CSAT : PAPER-II

(Chapterwise Analysis with Explanation)

Time : 2 hours **Maximum Number : 200**

COMPREHENSION

Directions for the following 7 items:

Read the following five passages and answer the items that follow. Your answers to these items should be based on the passages only.

Passage-1

Private investment in general is volatile. Foreign private investment is more volatile because the available investment avenues are significantly greater (i.e., the entire world). Therefore, the responsibility of providing employment cannot be left to Foreign Direct Investment (FDI). The current FDI inflows are volatile over time and across sectors and regions, which is a necessary consequence of their search for the highest returns. The adverse consequences are unstable employment and an accentuation of income and regional inequalities. A probable positive consequence of foreign investment is the inflow of new technology and its subsequent diffusion. However, the technology diffusion is not at all certain because the existing state of physical and human capital in India may prove inadequate for the diffusion.

1. With reference to the above passage, the following assumptions have been made :

1. **Relying on foreign investment in the long run is not an economically sound policy.**
2. **Policies must be undertaken to reduce volatility in foreign private investment.**
3. **Policies must be undertaken to strengthen domestic private investment.**
4. **Public investment should be given priority over private investment.**
5. **Substantial public investment in education and health should be undertaken.**

Which of the above assumptions is/are valid?

(a) 1, 2 and 4
(b) 1, 3 and 5
(c) 2, 4 and 5
(d) 3 only

Ans. (b) : Statement 1 is a correct assumption since, the passage clearly highlights the negative consequence of foreign investment. Statement 2 is wrong since, it implies that the state has the ability to interfere and reduce volatility in foreign private investment. This is contrary to economic logic and the passage also makes no such reference to capability of the state to reduce such volubility.

Statement 4 seems to be correct as the passage begins by highlighting that private investment is volatile.

Similarly, statement 5 sounds correct as it suggest primary importance of public investment in same sectors. Hence, option (b) is correct.

Passage-2

Many opportunities to harness the highly skewed, seasonal and spatial distribution of monsoon flows, which occur in a four-month period from June to September annually, have been lost. Since these few months account for most of the rainfall and consequent fresh water availability, the need for holding rainwater in reservoirs, for subsequently releasing it for use over the year, is a necessarily nobody can afford to overlook. Climate change will continue to affect weather conditions and create water shortages and excesses. While millions suffer from droughts and floods, waters in the country's many rivers flow unutilized and are discharged into the sea every year.

2. With reference to the above passage, which of the following could be the most rational and practical implications for India?

1. **Inter-linking of rivers should be undertaken.**
2. **A network of dams and canals should be built across the country for proper distribution of water.**
3. **Farmers should be provided easy loans for digging borewells.**
4. **Usage of water for agriculture should be regulated by law.**
5. **Distribution of river water among regions should be regulated by the Union Government.**

Select the correct answer using the codes given below:

(a) 1 and 2
(b) 2, 4 and 5
(c) 1, 3 and 4
(d) 2, 3 and 5

Ans. (a) : Statement 1 is correct since this is an attempt to optimise and efficiently utilise the skewed distribution of water in the country's rivers. Statement 2 is correct because it implies the need to ensure proper distribution of water, the need for which is brought out in the last last sentence of the passage that says millions suffer from droughts and floods. Statement 3 is contrary to logic since digging borewells would have an adverse impact on the distribution of water furthermore, the passage does not mention the inability of farmers to secure credit to dig borewells. Hence, it cannot be the correct implication from the same.

Statement 5 is incorrect since the passage does not bring out inability of states or federal relations as reasons for the skewed distribution of water. By elimination, option (a) is the correct answer.

Passage-3

People will invest in education whenever they are granted the economic freedom to fully enjoy its benefits. Again, this is for the obvious reason that the return on education increases as the level of economic freedom rises. When people, thanks to lower tax rates, are allowed to retain most of the higher income that they gain from each incremental level of education, it makes eminent sense to invest in education. On the other hand, when the government decides to tax the higher income of educated individuals at even higher rates, it makes very little sense to invest in educating oneself further. The same incentives apply to parents who decide on whether to invest in their children's education.

3. With reference to the above passage, the following assumptions have been made:

1. **Lower tax rates in a country invariably translate into greater investments in higher education.**
2. **Investment in the education of children ensure their economic freedom.**
3. **Economic freedom has a positive impact on building up human capital.**

Which of the above assumptions is/are valid?

(a) 1 only (b) 2 only
(c) 3 only (d) 1, 2 and 3

Ans. (c) : Statement (1) is false because according to it lower tax rates will always increase investment in higher education. Although there is a relationship between the two, it is not always true. Statement (2) is false because it is economic freedom that results from lower tax rates. Which ensures investment in higher education. Statement (3) is true because more economic freedom makes way for investment in education, which is an important component of human capital formation, hence the most appropriate option is (c).

Passage-4

Our urban bodies cannot possibly ensure sustainable delivery of water in our cities unless financing mechanisms are put in place. Water delivery requires heavy investment in collecting it from a natural source, treating it to make it potable, and laying a distribution network of pipes for delivery to the users. It also requires investments in sewage treatment plants so that the sewers can carry the waste water to these plants to ensure that no untreated sewage is discharged back into natural water bodies. If our cities were rich enough to meet the entire cost, water could be delivered free. They are not.

4. What is the most logical and crucial message conveyed by the passage?

(a) Urban local bodies must recover costs through user charges
(b) Urban local bodies are not efficient enough to meet the water requirements of our cities
(c) Water shortage in our cities is a perennial problem that cannot be solved
(d) In view of the water crisis in our cities, there is an urgent need to limit the population of cities by adopting an upper limit of population size

Ans. (a) : Option (a) is correct since the passage clearly implies that a funding mechanism should be put in place for maintaining the Urban local bodies. One such mechanism could be leveling consumer charges.

5. With reference to the above passage, the following assumptions have been made:

1. **Rich cities only can ensure sustainable delivery of water.**
2. **Sustainable delivery of water in cities means much more than supplying water to households.**

Which of the above assumptions is/are valid?

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Ans. (b) : The passage clearly indicates that only prosperous cities can ensure a steady and adequate supply of water is not sufficient. However, the basic assumption of the passage is that the long-term sustainable supply of water cities is not limited to the supply of water to households alone. Hence only assumption (2) is valid.